

Like many wealthy people, Sarah is in the process of subsidizing the incomes of others, the products of underaccumulating, overconsuming parents.

People often ask us how offspring of the same parents can differ so much when it comes to accumulating wealth. How could Sarah and her sister be so different? We are convinced that some differences exist at birth. Much of the difference, however, can be explained by variations in how parents relate to each of their children.

Papa encouraged Sarah to become a prodigious accumulator while fostering the opposite trait in her sister. In essence, he strengthened the strong daughter while weakening the weaker one. When Sarah left home, she burned her bridges. She received no outpatient subsidies. She had no choice but to learn how to “fish” for herself. And she taught herself very well. At the same time, her sister became progressively more dependent on Papa for his money.

Sarah had compassion for her parents, particularly Papa. He sacrificed much and worked extremely hard to become an affluent business owner. Papa was determined that his children would not have to work so hard and have to face the risk of “doing on their own.” But the willingness and ability to work hard, take risks, and sacrifice were the qualities that made him a successful and affluent business owner. Somehow, like many of his peers, he forgot how he became wealthy.

Many parents say there is nothing wrong with providing outpatient care. This is true, perhaps, if the recipients are already well disciplined and have demonstrated that they are able to generate a decent living without other people’s money. For example, what effect would accepting some outpatient care have had on Sarah once she had taught herself how to succeed, then excel at her chosen field? The answer is probably very little. She was mature enough, strong enough, to deal with money, hers or anyone else’s.

The real tragedy is the helplessness of those who come to depend on outpatient care. Without Aunt Sarah’s kindness, her nieces would likely be terrified of the future. Luckily for them, Sarah is helping. Wiser than Papa, she will provide trusts for these young women. Such financial support will benefit them much more in the long run than would substantial gifts of cash. Some of the funds in the trusts Aunt Sarah is setting up for her nieces are earmarked for education. The rest will not be distributed until these young women demonstrate considerable maturity. Sarah defines maturity as the proven ability to earn a good living. It is not her intention to create another generation of “weak sisters.” Still,